



DuckDuckGo Blocked

DuckDuckGo joins the list of the websites blocked in China
<http://dgit.in/DDGBlocked>



Help NASA out

Solve, launched by NASA, makes it easier to find all their public competitions and projects
<http://dgit.in/NASASolve>

Smart SoHo

Uber charge payments to Indian customers using a third-party currency exchange payment gateway outside of Indian laws. By effectively sidestepping the rules laid out for them they not only leave Indian customers vulnerable to financial fraud, identity theft and unwanted charges, but also dodge Indian taxation for sales made in India.

The RBI mandate in this respect doesn't impact Indian customers dealing with transactions involving Indian goods and services directly. But if an Indian purchased non-India based companies, then it comes into effect – and the use of two step authentication via payment gateways that end in Indian banks is the means to do so, forcing foreign businesses to involve the Indian financial system.

To clarify – the measures being enforced by RBI protect Indian customers at the cost of an extra step of verification, which effectively protects the customers' interests. By not allowing foreign businesses carte blanche rights to charge customers with shared credit/debit card information, the RBI is inconveniencing customers and making them say "yes" to a transaction twice, which really shouldn't be a big deal due anyway.

What does it mean for Indian businesses?

The last few months have seen a shift and many debit cards issued by the public sector are slowly transitioning towards acceptance. All risk-based transactions still depend on credit and debit cards – especially as credit cards protect them from volatile currency exchange rates, which is often perceived to be a restriction in India, but it's not a purely governmental one. The mandate, when clearly understood doesn't impact Indian customers dealing with foreign services like web hosting, data hosting, retail or any other service. In those cases the transaction demands foreign currency and the RBI doesn't interfere with that exchange.

In this mix-up, Indian businesses are best served by providing as many and as versatile payment options as possible on their online portals. For Indian enterprises who accept payments online, their customer base is potentially international

and currency flowing into India through proper channels is always welcomed by the RBI and the Indian government. Being ready to take advantage of this shift is why knowing how to set-up your own payment gateway can prove critical to the financial success of your business.

How do Payment Gateways Function?

Payment gateways have become the norm for online transactions, but the process and technology behind them is rarely considered or understood.

Payment gateways practically function as trusted intermediaries between customers, their banks, retailers and their banks, to allow for a smooth flow of funds. People normally pay for their shopping via credit or debit cards at Point of Sale (POS) systems. Such secure, physical systems are absent online and thus, payment gateways are required as middle-men.

transmitted to a bank for verification and the bank's response is processed by the payment gateway.

Benefits of a Payment Gateway

For businesses in the 21st century, the Internet can be a double-edged sword, presenting small businesses a convenient method of finding customers, but also turning them away with something as simple as bad design. Most of these issues have been taken care of in today's world and it's more likely that a customer is more worried about security than aesthetics. Payment Gateways are particularly useful here as they remove this burden from the merchant and allow for a better online experience.

The vulnerability of old payment systems are many, but the most egregious of which is the lack of two-way security, leaving one party (in the transaction)

PayPal™

One of the more prominent players in the online payment space

The system is essentially in five parts – the customer, the customer's bank or Credit Card company, the payment gateway, the merchants bank and the merchant. The encryption process and data routing through SSL (Secure Socket Layer) encryption can vary depending on the merchants deal with payment gateways on a case by case basis – but from the customer's perspective it becomes a seamless flow which takes them from purchase order to payment confirmation.

The primary function of the payment gateway is to tie in all essential checks and balances together online for a positive user experience. As customers place orders on a website and click "Pay now" they are taken to the payment gateway selection page. When availing off a payment gateway, all the data that's entered by a customer is first

with the upper hand, who can then take advantage of a situation if he sees fit to do so, while facing no real consequences. Payment Gateways are also as vulnerable to scams and hacks that extract customer data and this is where two-step authentication comes in, giving customers full control of their money.

Modern payment gateways have to employ the most modern methods of fraud detection and encryption if they have to stay relevant and are thus, genuinely safer than most other payment systems.

Payment Gateways Available

It's worth noting that with the rise in small start-up online services and retailers, the payment gateway business has become more competitive. The charges, transaction fees and other